



The Questions Your Contracts Force

The same read, applied to your own book of contracts

A worked example on Allegro MicroSystems · a Semipply Research Reader

SEMIPLY RESEARCH

Semiconductor Supply Intelligence

BUILT FROM PUBLIC SEC FILINGS · CORRELATION, NOT CAUSATION · NOT INVESTMENT ADVICE

The first two Readers looked outward — nine semiconductor companies, read from their own filed contracts, and then a check on how those reads aged. This one turns the lens around. The method doesn't depend on those nine; it works on **any book of contracts** — yours, or a company you are about to fund or buy. And its output isn't a verdict or a score. It's a set of **questions** — the ones a company's own agreements force it, and its funders, to answer.

Why that matters now: a company with no plans to raise, sell, or grow can leave these questions closed — for them, contract hygiene really is a vitamin. But the moment you plan to **raise a round, go public, get acquired, or defend a margin**, someone else will ask these questions — an investor's counsel, an acquirer's diligence team, a lender. The terms that sat dormant become **the clauses used against you at the table**. Far better to hold the answers before they are demanded.

The method, in brief

Read the actual agreements — not the pitch — and resolve five things: **who controls the company; whether it owns or rents its core technology; whether its supply is single-threaded; whether its revenue is committed or at-will; and what unwinds on a change of control**. Each answer traces to a specific clause. Where the contracts alone can't settle it, that gap *becomes* a question to put to management. The result is a diligence agenda, grounded in the company's own paper.

A worked example: Allegro MicroSystems

Allegro went public as a US sensor-chip company. Read its filed agreements and the questions write themselves — and, tellingly, several of them came due in real life within a few years.

Control — and what happens when the parent leaves. Allegro's key rights are tied to its Japanese parent, Sanken: the foundry collaboration can't be terminated or materially altered "without consultation with and concurrence of Sanken," and a royalty-sharing agreement "shall terminate in the event that Sanken ceases to own, directly or indirectly, more than fifty percent." *The question a funder must ask: what is the plan the day Sanken falls below 50%?* This was not hypothetical — in July 2024 Sanken repurchased down from 50.8% to 32.5%, and within months Allegro was the target of a roughly \$6.9 billion acquisition bid from onsemi. The question the contract raised became the company's defining event. (*Correlation, not causation — but the contract told you where to look.*)

Own or rent the technology. The IP is split: magnetic-sensor IP is "solely owned by Allegro," while "all other IP will be jointly owned by Sanken and Allegro." *Question: what can Allegro actually license, spin out, or sell on its own — and what needs the (now former-majority) parent's sign-off?*

Single-threaded supply. Wafers come from Polar under a foundry agreement with a "six month binding forecast" and a liability cap that protects the supplier. *Question: is Polar an arm's-length foundry, or a captive whose pricing and capacity the parent influences — and where is the second source?*

Committed or at-will revenue. That binding forecast is a take-or-pay commitment — Allegro must pay for the forecasted wafers whether or not it needs them. *Question: how much inventory risk does it carry in a downturn, and does that exposure sit on Allegro's balance sheet?*

Change of control. With parent-linked termination triggers embedded in key agreements, *question: which contracts reprice, terminate, or require consent in an acquisition — i.e., what would an acquirer's diligence team find that changes the price?* This is precisely the terrain a bidder walks.

The point — and the offer

None of these is a gotcha. Each is a question a serious investor or acquirer *will* ask, and each is answerable — from the contracts for some, from management for the rest. That is the deliverable: not a verdict on Allegro, but the **agenda its own paper sets**. We can produce the same agenda for any book of contracts — a company's own, or a target's — grounded clause by clause, from real filings.

For a company heading into a raise, an IPO, or a sale, the choice is simple: answer these questions on your own schedule, or on the other side's.

Read the exhibits — before someone else does.

The third in a Semipply series, following "The Independence Illusion" and "How the Nine Aged."
Contract quotations are verbatim from Allegro's SEC filings; bracketed marks denote issuer redactions.
The Allegro events are public and are cited as correlation, not causation — nothing here asserts that a contract caused an outcome, and nothing here is investment advice.